INSURANCE AND PENSIONS COMMISSION

HALF YEAR REPORT

FOR

LIFE ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2012

1.0 List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Q1	First Quarter
H1	First Half

NOTE: **ALL MONETARY FIGURES ARE IN USD**

2.0 Executive Summary

For the period under review, life companies wrote gross premiums of $51 million, a 20% growth from reported figures for the half year ended 30 June 2011. Reassurance companies realized $3million in gross premiums written.

The Commission is pleased to report that almost all players were compliant with the current minimum capital requirements in line with Statutory Instrument 183 of 2009 except a single life insurer and one reassurer .Recapitalization plans are on course. We continue to encourage members to gear up their balance sheets in anticipation of the impending new capital levels.

Life offices recorded a 14% fall in asset values to close the half year at $871million.This was mainly because of falling stock values.

For the half year ended 30 June 2012, the major cost centers for life companies were management costs (50%) and claims (43%) feeding into an overall combined ratio of 63% . Whilst the statistics are indicative of a fertile scope for realizing technical profits, IPEC continues to encourage players to prudently manage costs given the current depressed investment climate.

The life industry continued to report an extremely high retention ratio. IPEC continues to encourage them to retain risks subject to their capacity and other prudent underwriting considerations to manage underwriting failure. It is therefore prudent to manage both expense costs and solvency through reinsurance programs which are well structured to manage excessive exposure.

Section A

Life Assurance Companies

3.0 The Number of Life Assurance Companies

This report is centered on 9 players.

4.0 Business Written

For the half year ended 30 June 2012, the life industry wrote $51 million in gross premiums, a 20% increase from business written in the comparable period last year (see Table 1 below). The Commission encourages players to continue embracing confidence-boosting measures that include, but not limited to, product innovation, shorter service turnaround periods and competitive, but prudent, pricing in order to raise market penetration. In the same vein life assurers should seriously consider micro insurance as an option to traditional products given that the traditional middle class market has been replaced by the low income market which has a real need for insurance. The general slow growth in new business can be attributed to failure by the market to adjust strategically to market changes.

Table 1: Premium Distribution by Company as at 30 June 2012

Name of Life Company	GPW (USD)		Growth
	June 2012	June 2011	
Altfin	2,356,757	1,588,536	48%
Evolution	930,642	1,192,889	(22%)
Fidelity	3,742,482	3,539,201	6%
FML	10,188,240	8,124,408	25%
IGI	526,280	415,697	27%
Old Mutual	23,719,228	20,125,925	18%
CBZ Life	576,688	214,179	169%
Zb Life	3,245,581	2,921,647	11%
Zimnat	5,528,360	4,131,735	34%
TOTAL	**50,814,258**	**42,254,217**	**20%**

5.0 Capitalization and Actuarial Reserves

Capital

All players serve for one, were in compliance with the minimum capital requirements as per Statutory Instrument 183 of 2009. The Commission has engaged the player and hereby confirms that discussions are in progress.

Actuarial Reserves

For the period under review, life companies shed 4% of their actuarial reserves from June 2011 reported figures albeit a 49% decrease in the total claims bill. (See Table 3 below)

Retained Earnings

For the half year ended 30 June 2012, life offices reported retained earnings of $93million, a 9% fall from $103million for the comparable period last year. This may be attributable to realization of net losses by the industry as a result of rising business costs.(See Table 2 and 3 below)

Table 2: Capital and Actuarial Reserves as at 30 June 2012

NAME OF COMPANY	Issued Share Capital	Other Capital			Retained Earnings			Actuarial Reserves		
		June 2012	June 2011	%	June 2012	June 2011	Growth	June 2012	June 2011	%
Altfin	542,000	0	(542,000)	0.0%	4,351,366	4,724,527	(8%)	465,647	0	0.0%
CBZ Life	20,000	1,388,012	1,388,012	0.0%	164,155	0	0%	1,522,369	43,539	0.0%
Evolution	1,777,737	100	1,765,738	0.0%	236,275	160,856	47%	178,001	951	18617%
Fidelity	1,089,233	1,185,317	1,089,233	8.1%	4,852,590	2,167,235	124%	18,640,288	10,577,771	66%
FML	501	2,606,200	2,606,300	0.0%	(4,642,653)	3,963,647	(117%)	0	3,005,265	(100%)
IGI	1,680,000	0	5,839,233	0.0%	42,065	14,083	199%	110,395	422,555	0%
Old Mutual	131,844	29,990,000	29,990,000	0.0%	85,465,351	88,072,572	(3%)	747,595,426	795,460,677	(6%)
ZB Life	250,000	4,750,000	4,750,000	0.0%	(2,071,835)	1,333,731	(155%)	20,987,049	19,055,243	(3%)
Zimnat	200,000	250,000	400,000	(60.0%)	5,754,105	2,798,120	106%	20,152,095	16,653,214	21%
Total	**5,691,315**	**40,169,629**	**47,286,516**	**(18%)**	**94,151,419**	**103,234,771**	**(9%)**	**809,651,270**	**845,219,215**	(4%)

6.0 Key Performance Indicators

Claims

The Life industry reportedly paid $13million in claims for the period under review compared to $26million paid for the same period the previous year. This translated to a 49% fall in the claims bill and a 27% claims ratio attributable mainly to a 70% downturn in Old Mutual's reported claim figures.

Claims contributed 43% of the total costs for the current reporting period (71% for the half year ended 30 June 2011).

Commission

Commission payments accounted for 7% of the industry's total costs (4%, June 2011). The Commission continues to warn players to employ registered agents and brokers only, failure of which corrective measures will be taken in terms of the law.

Management (Operational) Expenses

Management expenses contributed the balance of 50% of the total costs, for the half year ended 30 June 2012, compared to 25% share for the same period last year. This may be attributable to rising costs of rentals, utility bills, salaries among others. Management should be wary of the expense ratios especially where some of the products are investment and retirement annuity policies since high cost will impact negatively on the maturity values.

Combined Ratio

Life companies reported an improvement in their combined ratio from 104% to 64% mainly due to a sharp drop in the claims ratio of a major player as alluded above. The commission is worried where combined ratios have gone 100% and above. Management in these institutions should take corrective measures to protect shareholder value.

(See Table 3 below)

Table 3: Key Performance Indicators By Company for the Quarter ended 30 June 2012

	Net Premium written(000)			Claims (000)			Commissions(000)			Management Expenses(000)			Combined Ratio	
	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011
Altfin	2,153	1,275	69%	225	203	(11%)	183	115	(59%)	1,009	739	(37%)	66%	83%
Evolution	365	628	(42%)	35	126	72%	-	163	0%	185	228	19%	60%	82%
Fidelity	3,610	3,453	5%	463	281	(65%)	115	53	(117%)	1,728	1,204	(44%)	64%	45%
FML	10,143	7,923	28%	2,408	2,025	(19%)	940	956	(2%)	5,494	1,493	(268%)	87%	56%
IGI	497	414	20%	67	70	4%	65	33	97%	365	370	1	100%	114%
O. Mutual	23,658	15,243	55%	6,322	20,912	70%	142	49	190%	3,097	2,896	(7%)	40%	157%
CBZ Life	563	214	163%	77	-	0%	72	25	0.0%	221	141	(57%)	66%	78%
Zb Life	3,070	2,880	7%	1,894	1,505	(26%)	329	93	188%	1,793	1,037	(73%)	131%	91%
Zimnat	5,317	3,682	44%	1,866	1,157	(61%)	225	76	196%	1,583	1,287	(23%)	69%	68%
Total	**49,376**	**35,712**	**38%**	**13,357**	**26,279**	**(49%)**	**2,071**	**1,563**	**33%**	**15,475**	**9,395**	**(65%)**	**63%**	**104%**

7.0 Asset bases

Table 4 and Figure 1, below, show the total assets held by the life assurance industry for the half year ended 30 June 2012.

Stocks and Shares

Life offices decreased their equity holding by 37% from $511million as at 30 June 2011 to $323million in the period under review .This may be due to the generally falling share values obtaining on the stock market.

Land and Buildings

For the current reporting period, fixed asset holding by the life industry constituted 47% of total assets. Life offices realized a 4% growth in property values to $408million from $392million reported in the half year ended 30 June 2011.

Cash

Pressure resulting from limited viable investment options may have given players a major challenge as holding of generally non-productive cash increased to $91million ($71 million, June 2011).

Other Assets

The balance of total assets held by life offices was in other assets. In an endeavor to promote further disclosure in this category among other issues, the Commission has designed a new template which has been introduced for use for the third quarter report.

Prescribed Assets

Life companies must statutorily invest 7.5% of their assets in prescribed assets. The Commission requires compliance in this regard to avoid statutory penalties. Players are therefore expected to invest in prescribed assets as they are floated on the market. With stability coming to the industry the commission will be expecting players to be compliant as matter of priority.

Table 4: Life industry Asset bases as at 30 June 2012

	Stocks and Shares (000)			Land and Buildings (000)			Cash (000)			Other Assets (000)			Total (000)		
	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011	Growth	June 2012	June 2011	Growth
Altfin	3,932	2,895	36%	673	685	(2%)	319	129	147%	1,169	1,819	(36%)	6,092	5,528	10%
Evolution	0	47	(100%)	1,579	1,592	(1%)	247	100	147%	1,427	1,603	(11%	3,253	3,342	(3%)
Fidelity	5,065	3,997	27%	18,531	7,004	165%	4,763	0	0.0%	2,447	7,202	66%	30,805	18,203	69%
FML	67,516	39,748	70%	0	0	0.0%	1,759	1,612	9%	10,763	7,742	39%	80,038	49,102	40%
IGI	33	80	(59%)	512	209	145%	57	16	256%	1,807	298	506%	2,410	603	300%
O.Mutual	217,905	435,310	(50%)	368,544	369,124	(1%)	83,338	66,911	(25%)	17,292	17,590	(2%)	687,080	888,935	(23%)
CBZ Life	0	-	0%	0	0	0%	89	1,229	(93%)	3,584	128	2700%	3,673	1,357	170%
Zb Life	18,842	19,860	(5%)	3,215	2,924	10%	219	133	65%	3,671	3,173	16%	25,947	26,090	1%
Zimnat	9,618	8,600	12%	14,628	10,523	39%	661	637	4%	6,596	3,934	68%	31,503	23,694	33%
Total	322,911	510,537	(37%)	407,682	392,061	4%	91,452	70,767	29%	48,756	43,489	12%	870,801	1,016,854	(14%)

Figure 1: Asset Composition

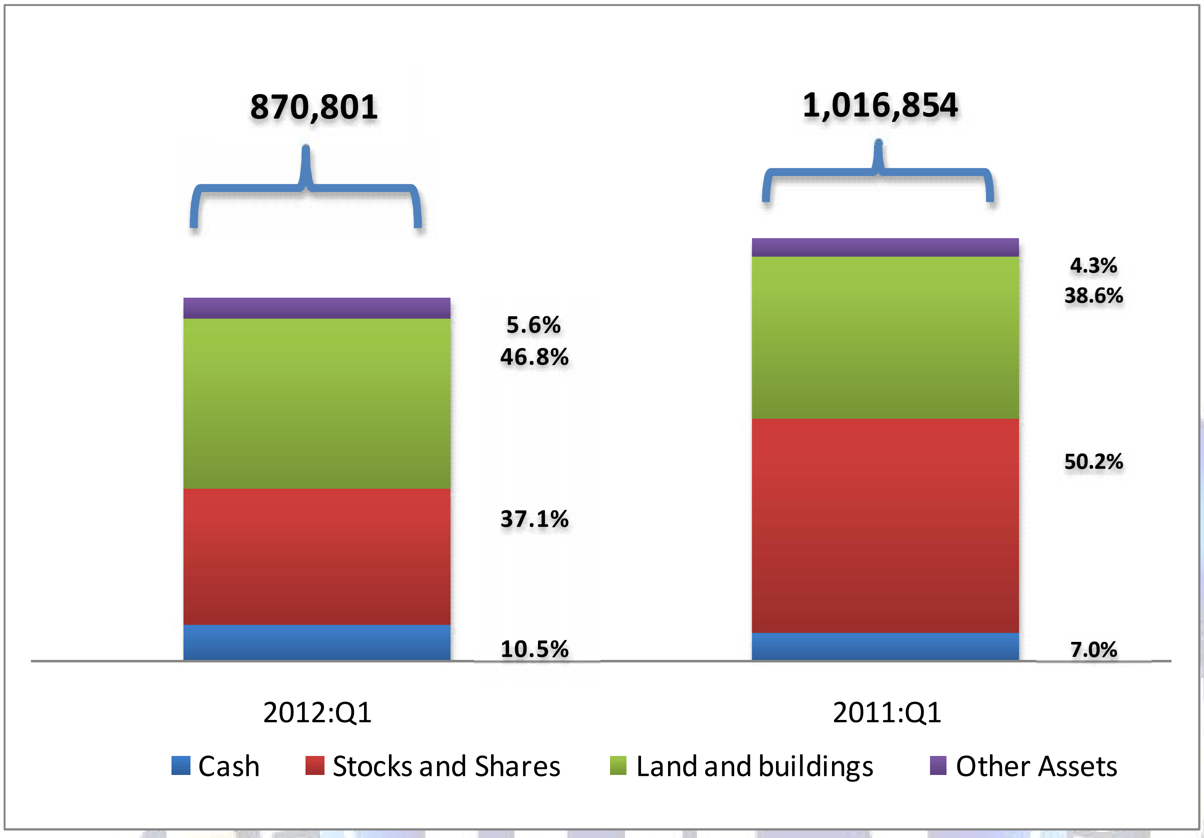
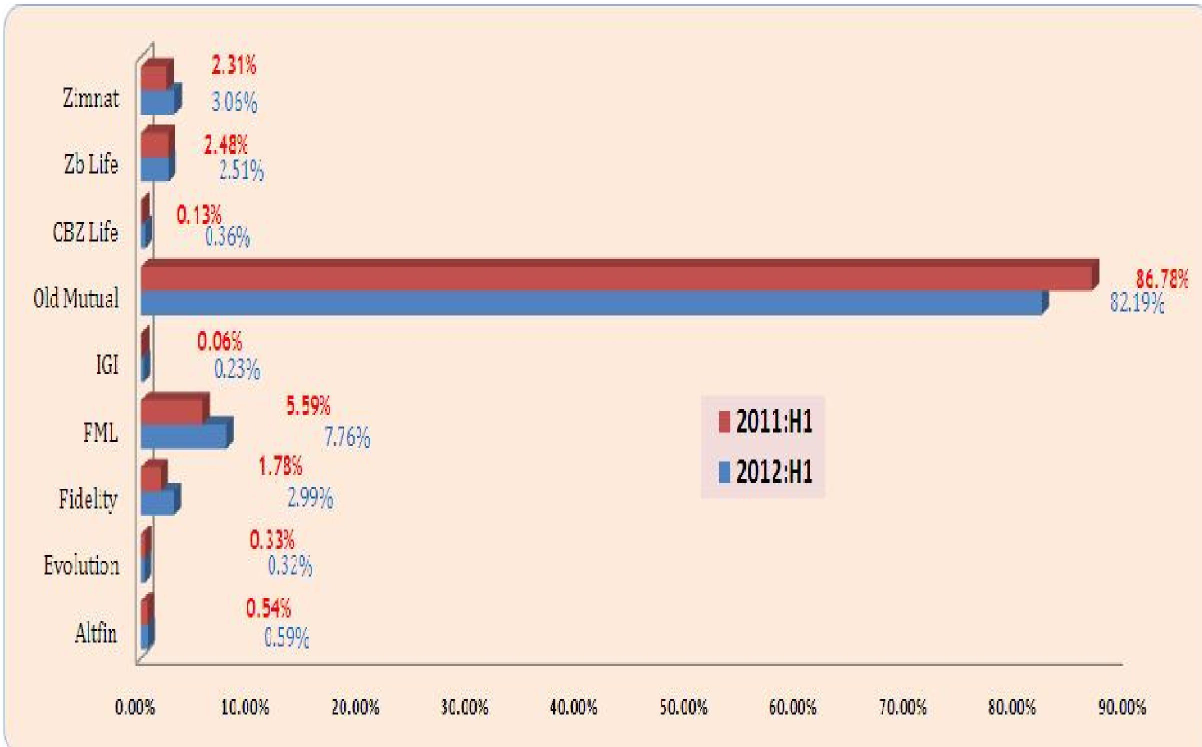


Figure 2 below illustrates that the top three life offices commanded over 90% of the total assets for the current reporting period. The Commission encourages innovation on the part of players to dilute perceived unfair market practices associated with such an oligopolistic market structure.

Figure 2: Asset Distribution by Company



8.0 Reinsurance and Retention

Reinsurance is a necessity risk spread mechanism for players despite the sustained high retention ratios. In the absence of statutory guidelines on reinsurance, IPEC continues to encourage players to retain risks commensurate with a player's underwriting capacity. The long term effects of an unjustifiably high retention are usually catastrophic. Players are therefore implored to seriously put in place reinsurance programs as a necessary risk management mechanism (See Table 5 below).

Table 5: Reinsurance and Retention by Company for the Second and Third Quarter 2011

Life Company	GPW(USD)		Reinsurance(USD)		Retention Ratio (%)	
	June 2012	June 2011	June 2012	June 2011	June 2012	June 2011
Altfin	2,356,757	1,588,536	203,366	313,263	91	80
Evolution	930,642	1,192,889	565,472	565,343	39	53
Fidelity	3,742,482	3,539,201	132,216	86,333	96	98
FML	10,188,240	8,124,408	42,520	201,308	100	98
IGI	526,280	415,697	29,666	1,803	94	100
Old Mutual	23,719,228	20,125,925	60,784	4,883,114	100	24
CBZ Life	576,688	214,179	13,563	0	98	100
Zb Life	3,245,581	2,921,647	176,014	42,016	95	99
Zimnat	5,528,360	4,131,735	211,603	449,646	96	89
Total	**50,814,258**	**42,254,217**	**1,435,204**	**6,542,826**	**97**	**85**

Section B

Reassurance Companies

1.1. Update on Number of Operational Institutions

This report is based on 2 operational life reassurers.

1.2. Business Written

Table 1 below, shows that life reassurers wrote $3million in gross premium written for the period under review.

Table 1: Key Performance Indicators for the quarter ended 30 June 2012

	30 June 2012
Gross Premium Written	2,733,535
Net Premium Written	2,459,129
Net Earned Premium	1,183,587
Net Claims Incurred	524,490
Net Commission Incurred	470,502
Management Expenses	650,804
Underwriting Profit	(80,166)

1.3. Earnings

Life reassurers realized a technical loss of $80,000 for the half year ended 30 June 2012.This is a red flag indicating an urgent need to charge commensurate premium rates and rightsizing of other costs for sustainability.

1.4. Capitalisation

FMRe Life and Health continued to be undercapitalized in terms of Statutory Instrument 183 of 2009 as shown in Table 2 below. Corrective measures, as approved by the Commission, are on-going to rectify this scenario.

Table 2 : Capitalisation Levels for the quarter ended 30 June 2012

SHAREHOLDERS' EQUITY	Baobab	FMRe	Total
Share Capital	337,727	550	338,277
Share Premium	-	801,227	801,227
Revaluation & Other Reserves	385,495	72,555	458,050
Retained Profit	(23,529)	(1,814,155)	(1,837,684)
Shareholders' Equity	**699,693**	**(939,823)**	**(240,130)**

1.5. Asset Quality

Reassurers held 59% of their assets in non-current assets for the half year ended 30 June 2012.We continue to require players to employ actuarial guidance as to the specific assets, and proportions thereof, for investment purposes in order to timeously and adequately meet their liabilities. (See Table 3 below)

Table 3: Total Assets for Reassurers for the quarter ended 30 June 2012

	Baobab	FMRe	Total
Non-Current Assets	**2,185,325**	**583,695**	**2,769,020**
Current Assets	1,135,467	194,580	1,037,367
TOTAL ASSETS	**3,320,792**	**1,361,970**	**4,682,762**

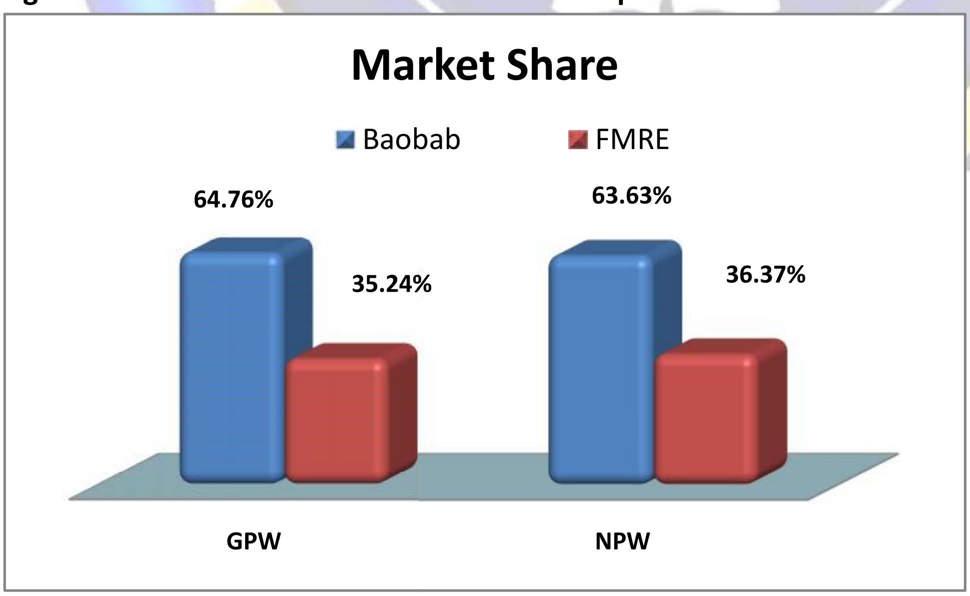
1.6. Retention

Appendice C, below, illustrates that players retained 90% of their gross written premium net to their books. Reassurers are however encouraged to prudently retain risks commensurate with their capacity levels in addition to taking cognizance of the prevailing depressed investment climate.

1.7. Market Share

Figure 1 below, shows that Baobab Re controlled 65% of the market in terms of gross premium. In terms of net premiums, its market share dropped to 64% with FMRe Life and Health claiming the balance.

Figure 1: Market share For Reassurers for the quarter ended 30 June 2012



Section C

Appendices

Appendix A: Statement of Income for 2nd Quarter-Reinsurers

	Baobab	FMRE	Total
Gross Written Premiums	**1,770,234**	**963,301**	**2,733,535**
Reinsurance Premiums	205,532	68,874	274,406
Net Written Premiums	**1,564,702**	**894,427**	**2,459,129**
Net Earned Premiums	**289,160**	**894,427**	**1,183,587**
Net Incurred Claims	1,094,836	(570,346)	524,490
Net Commission Incurred	633,537	(163,035)	470,502
Technical Result	**480,355**	**90,283**	**570,638**
Operating Expenses	382,092	268,712	650,804
Underwriting Result	**98,263**	**(178,429)**	**(80,166)**
Investment			
Investment Income	(12,298)	(76,319)	(88,617)
Unrealised Gains/Losses	(179,198)		(179,198)
Other Income	-		-
Profit Before Tax	**(93,232)**	**(254,748)**	**(347,980)**
Taxation	-	3,526	3,526
Profit After Tax	**(93,232)**	**(251,222)**	**(344,454)**
Key Ratios			
Market Share based on GWP	64.8%	35.2%	100.0%
Market Share based on NWP	63.6%	36.4%	100.0%
Retention Ratio	88.4%	92.9%	90.0%
NEP/ NPW	**18.5%**	**100.0%**	**48.1%**
Net Claims/NEP	378.6%	-63.8%	44.3%
Net Commission Ratio	219.1%	-18.2%	39.8%
Net Expense Ratio	132.1%	30.0%	55.0%
Combined Ratio	729.9%	-52.0%	139.1%
Underwriting Margin	**-629.9%**	**152.0%**	**-39.1%**